

1.1 THE HISTORY OF ENTREPRENEURSHIP IN NIGERIA.

The history of Entrepreneurship in Nigeria can be trace back to the colonial era, it could be treated under two (2) headings:

1. The PRE-Independence period and
2. The post-Independence period.

1. **THE PRE-INDEPENDENCE PERIOD:** During this period the dominant economic activity is the export of agriculture products like cotton, groundnut, palm oil, cocoa, hide and skin etc, and Nigerians import finished good (Nigeria were the last link in the chain of distribution imported textiles, grocery and hardware). At this time, it was only the British that enjoy the benefit. The role of Nigeria in this regard is "Agent" (i.e licenced buying agent in raw material). The finished goods were distributed by agents like C.F.A.O, S.C.O.A, P.Z, Leventis etc. the banking system at that time was stringent. Nigerians could not afford the collateral needed to get loans. The economic activities were dominated by the British. Nigerians undertake petty trades and small scale farm, the produce of which the British exploited. Nigerians were not opportuned to perform actual entrepreneurship activity. The colonisist monopolises all forms

of meaningful trade and there was no actual Entrepreneurship for the Nigerians.

2. **THE POST-INDEPENDENCE PERIOD:** During this period, there was clamour for the British to hand over the economy. Nigerians wanted freedom not only from colonization but also from being used as second fiddle in business endeavours. They wanted their own produce and wants to oversee its exportation and marketability. The British decided and promised to get Nigerian an industry and to involve them in the operation of the economy. (At this time, the British were not ^{really} ready to start Manufacturing in Nigeria because:

- i. It'll not satisfy their interest – (i.e Nigerians will start tapping their technological ideas).
- ii. They ~~sell~~ the market (Nigeria) was too narrow, so they selfmanufacturing will not favour them in Nigeria.

So they circumvent this problem by introducing "Assembling Plants" e.g P.A.N

At a point in time, the Nigerian government came up with the *Indigenization decree* – that certain lines of businesses are going to

be exclusively for Nigerians and where the need be, in terms of technology, there will be 60% Nigerians and 40% foreigners. The foreign company's still circumvent the indigenization decree by fronting Nigerians as the owners of ~~their~~ companies. The indigenization decree had good intentions but it failed due to the below listed reasons:

1. Most Nigerians have not acquired the expertise necessary to take over this business ^{of} effectively.
2. Most Nigerians are not having enough money to finance the business, most ^{books} ~~beats~~ were owned by foreigners – and lending system ^{is} stringent.

3. Lack of will ~~power/lack~~ of culture of innovation. So this explains why entrepreneurship development has been so backward in Nigeria.

As time goes on, the wealthy Nigerians who have been given mere overseer's job in the industry began to learn and understand the nature of business, this made the British to feel very uncomfortable ~~here~~, going by the fact that it is an independent country. Nigerians began to have control as the white men leave the country. The skill and competence of the Nigerian men

continued to rise as they got more money and skills in the economy, expatriates leaving the country began to relinquish the firms to Nigerians. At this stage full entrepreneurship for Nigerian began and the Nigerians became better Entrepreneurs by the day.

1.2 COMPAIRING ENTREPRENUERSHIP IN NIGERIA AND THE EAST ASIAN COUNTRIES

JAPAN, KOREA, MALAYSIA, INDONESIA E.T.C. -

At a point in time, the east Asian situation was as bad as ours. Infact at that time, any product "made in Japan" was considered as a poor product, but today they're referred to as the ASIAN TIGERS. On a general note, the level of entrepreneurship in the high performing East Asian economies shows a remarkable high rise within a short space of time when compared to the Nigerian economy. This comparison can be justified on the grounds that the East Asian economies went through similar colonial experience like Nigeria and had similar features of LDC'S at the early years of their independence.

WHAT EXPLAINS THE RAPID GROWTH OF THE EAST ASIAN COUNTRIES

As²⁸ There are some certain factors that could clearly explain the rapid growth and the East Asian countries like Japan, Korea, China, Malaysia, Indonesia etc, in comparism to the Nigerian experience, these factors includes:

1. **EDUCATIONAL SYSTEM:** The East-Asian countries adapted what is called a functional educational system, that is, the type of educational system was friendly to their environment. This means that the education given can be useful as it is, without modification. Primary pupils were equipped with technical skills and so it became very easy for them to raise a skilled labour force to develop the economy generation after generation.

In the Nigerian context, the primary and secondary educational systems were not so much well equipped to produce skilled pupils to make room for development in the economy. The technical institutions were not functioning in terms of producing skilled manpower who can create products. Therefore there was no much rapid development of real industrialist as compared to the Asian countries.

2. **FINANCIAL SECTOR:** The East-Asian countries have a well organized financial sector. They undertake maximum mobilization and utilization of fund. People were encouraged to invest their money into financial sector like banks – unlike in Nigeria where most businessmen keeps their money at home making the money out banking. Also in Nigeria, there are no basic encouragement for potential entrepreneur development loans and advances were hardly given to business men.

3. **AGRICULTURAL SECTOR:** They have a good policy on agricultural sector, they have a balanced agricultural policy that discourages rural – urban migration. People in the rural areas can produce comfortably in the rural areas for the urban settlers.

In Nigeria, the agricultural sector is under-developed. Entrepreneurs in agriculture are less in number. With the oil sector diversion especially in the 80's, agricultural sector suffered neglect, and management of agricultural produce was also neglected which suppose to produce raw materials for industries in the economy, this encourage the rate of rural-urban migration in the country.

4. **ABUNDANT SKILL AND LABOUR:** Because of the input in the primary education, skilled labour is in abundance in the East-Asian countries. They have a good number of abled labour force and it was cheap. This attracts foreign investors who taught them more entrepreneurial skills. This made their process of development very rapid.

Here in Nigeria we don't have enough skilled labour, the skills we had were unattractive to the foreign investors.

5. **INDUSTRIAL DEVELOPMENT POLICY:** The East-Asian countries ensure that the development of their industries were well coordinated. They are skilled with copy technology which they adapted to suit their local industrial situation. This came as a result of their cheap labour which attracted foreign investors to invest there, and they (the East-Asian countries) took advantage and copied it in order to develop theirs.

But in Nigeria, we only had assembly plants, and experts and parts were brought from abroad. And where we had technological blue prints, we lacked the skill to implement the copied technology. This made our industrial and entrepreneurial growth to be slow.

1.3 THE NIGERIAN VALUE SYSTEM AND ENTREPRENEURSHIP DEVELOPMENT

VALUE: Can be defined as "a conception of what an individual or group regards as desirable." Value is a view of life and judgement of what is desirable, that is very much part of a person's personality and a group's morale.

Values are imbibed from parents, teachers and elders, and as an individual grows, values are adopted and refined in the light of new knowledge and experiences.

The attitude of the Nigerian Entrepreneur is closely related to the value system in the country. The following are some of the issues relevant in a discussion of Nigeria's value system and entrepreneurship development.

1. **ILL-GOTTEN WEALTH:** The issue of ill-gotten wealth has engulfed our society to the extent that it is becoming an accepted social phenomenon. This has diminished the virtue in hard work and entrepreneurship. Nigerians believe in short-cut to the top.

2. In some other cases, serious minded entrepreneurs who started well soon degenerate into un-business like attitude of

devoting disproportionate business hours to social functions and family affairs.

3. Also, the attitude of competitive spraying of money at parties are known sources of fund wastages. Most of such businessmen with such attitudes tends not to have been able to meet their financial obligations to financial houses.

4. The attitude of making it to the top early has resulted in a very small proportion of Nigerian entrepreneurs going into heavy industrial production or manufacturing – (such businesses are regarded as having long – gestation period). For a society that believes on moving on the "fast-lane", entrepreneurial pursuit with long gestation period no matter what long-run benefit they hold will find no place.

5. Attitude towards entrepreneurial pursuit is also another significant factor. The value system prevalent in the society for quite some time now is the orientation towards white collar – job. Highly skilled individuals had an orientation towards securing government jobs or some high paying employment rather than utilizing their skills to establish some form of business holding. Those who went into business were seen as

those who are unable to make it academically or who could not secure jobs. The virtue in creativity and innovation was deplorably missing. It was only when unemployment was approaching un-manageable proportion that the government initiated the fire-brigade measure of the NDE (National Directorate of Employment), a scheme aimed at giving entrepreneurship a push. All the above listed value system factors had an adverse effect on the development of entrepreneurship in Nigeria.

2.0 THE SCOPE, THE NEED AND THE CHARACTERISTIC OF ENTREPRENEURS.

2.1 DEFINITIONS

ENTREPRENEUR is derived from French word meaning "between" and "to take". Thus an Entrepreneur is one who takes position between a supplier and a customer. One who "takes" the risk, literally, that it will succeed.

- PERTER DRUCKERS defined entrepreneur as "one who shifts economic resources out of an area of lower productivity and greater yield".

- TIMMONS .J. defines it as "a human creative act that builds something of value from practically ~~nothing~~ ^{nothing} - it's the pursuit of opportunity regardless of the resources or lack of resources at hand. It requires a vision and the passion and commitment to lead others in the pursuit of that vision. It also requires a willingness to take calculated risks.
- NW/ATHAKWU C.C - Sees an entrepreneurs as "people who have the ability to see and evaluate business opportunities, gather necessary resources to take advantage of them and ^{initiate} appropriate action to ensure success".

2.2 THE SCOPE OF ENTREPRENEURS

The scope of entrepreneurs will to an extend depend on the type of economic system being operated in the country. There are three (3) types of economic systems; they are as follows:

1. **FREE ECONOMY (CAPITALIST):** It is one where all resources are owned by individuals. Here the scope of entrepreneurs is wider because they are given commanding height of the economy. In a free economy, all members are free to run business for a profit, e.g, U.S.A, Canada, Japan etc.

2. **CONTROLLED ECONOMY (COMMUNIST)** - i.e the centrally planned economy: Is one which all the resources could be owned and organized by the state. Decisions on what to produce are taken collectively by the government on behalf of its people. In this case, the state determines the allocation of resources. E.g. Bularia, Cuba etc

3. **MIXED ECONOMY (SOCIALIST)**: It is one where some resource and organizations are owned and controlled by the state (i.e the public sector) and others by private individuals or groups (i.e private sector). Most countries practices this e.g. NIGERIA.

So in each of these economic systems, Entrepreneurs have their scope, but the scope is wider in the capitalist because they are given the commanding height of the economy, while in the communist or socialist system, the power is taken away from the entrepreneurs, the state determines the allocation of resources.

2.3 THE NEED FOR ENTREPRENEURSHIP IN NATIONAL ECONOMY

Entrepreneurs by their roles and functions are inevitable in a country if growth and development is to be achieved. The following are the importance of Entrepreneurs in the National Economy:

1. Entrepreneurs are the engine of growth because they initiate and innovate, they bring new things on board and ensure that the society is developed.
2. They mobilize resources – i.e through their innovative skills, vast untapped resources can be turned into profitable business opportunities –e.g the scheme of waste to wealth, where vital resources that were thrown away before, are now being used.
3. They improve the standard of living by producing goods and services that people enjoy.
4. They create employment opportunities.
5. They encourage the promotion of local technology.

6. Reversal of rural-urban migration by establishing businesses in the rural areas.
7. They encourage industrial dispersal and even development.
8. Local entrepreneurs are well suited for narrow markets. i.e they can operate effectively in a narrow market with low purchasing power.

FUNCTIONS OF THE ENTREPRENEUR.

The functions of an Entrepreneur are the activities that an entrepreneur undertakes in order to succeed in establishing and running his business.

These include:-

- i) Identification of an investment opportunity -
- ii) Decision Making.
- iii) Creativity.
- iv) Risk bearing
- v) Selection and Acquisition of resources.
- vi) Establishing the enterprise.

(1) Identification of An Investment Opportunity:-

The main function of an Entrepreneur, is to identify an investment opportunity. An Investment opportunity represents the needs and wants of potential consumers which are not being presently met by existing enterprises, and which the entrepreneur has the capacity to satisfy. It is not all needs and wants that constitute investment opportunity. To be an investment opportunity, the needs and wants must be large enough to generate a satisfying profit level, is such opportunities are tapped.

- Investment opportunity consists of three parts:-

- a) present unsatisfied needs and wants of consumers.
- b) Large needs
- c) The capacity of the entrepreneur

(2) Decision Making - The second function of an Entrepreneur is decision making. In the course of seeking for an investment opportunity, it is most likely that the entrepreneur will end up identifying more than one opportunity. If such a situation arises, then he/she has to take decision on which of the opportunity he/she should exploit and

accept. He/she has to evaluate all the opportunities and decide to implement only the opportunity that he/she has the capability of establishing and running successfully.

RATIONAL DECISION :-

1) Personal Interest:- Interest in any endeavour is very important for the success of such endeavour. An Entrepreneur has to have a keen interest in that type of venture before he decides to venture in. It is the interest that will prompt him to continue to pursue the venture even when he is faced with problems in his path.

2) Technical Capacity:- The entrepreneur should also himself be able to understand and know about the technology involved in establishing the venture.

3) Risk Involvement:- Here the entrepreneur should be concerned about the degree of risk involved in the business in any decision taken. He should see himself whether he has the capability of absorbing the risk involved in the business. It is advisable to take moderate risks.

4) Availability of Resources:- The availability of resources is important in establishing and running an enterprise. The entrepreneur should ensure that he has enough capital to buy fixed assets, & for working capital. Capital is personal (swelled), as is material availability technology and the machinery to be used is another resource that needs to be available.

5) Project Profitability:- The essence of Entrepreneurship is for the entrepreneur to be able to contribute to economic growth. Thus it is not possible if the entrepreneur makes no profit in the enterprise he establishes.

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It is from the profit he makes that he rewards himself, and other co-sponsors, while the rest is re-invested in the biz.

- The entrepreneur should realize that the amount of profit made is commensurate to the risk involved.

The more the risk, the more the profit to be expected.

④ Potential for growth! - This goes hand in hand with profitability. If the venture is profitable, then there is the possibility that it will grow - growth can be assessed if enough profit is retained in the business.

⑤ Availability of necessary infrastructure! - He should consider the availability of necessary infrastructures like electricity, water, telephone services. Also a suitable site which is accessible should be considered. All these are necessary for the smooth running of the enterprise.

⑥ Personal capabilities of the entrepreneur! - The entrepreneur should consider whether he has the necessary skills, attributes, values, and experience upon which the business can be built. He has high possibility of success in a business venture where he has these qualities.

⑦ Creativity! - Is the third function of Entrepreneurs.

Creativity has been defined as "the ability to process information in a new way that the result is new, original and meaningful." I

- It involves new ideas, and the capability of an entrepreneur to do something in a new way that nobody has thought of it.

- An entrepreneur has to be creative as long as he lives. He has to develop new products, new marketing techniques, or new techniques in doing things to improve efficiency. So as to have an edge over his competitors.

Four forms of Creativity (Creative DMS) are as follows:-

- i) Innovation
- ii) Synthesis
- iii) Extension
- iv) Duplication

1) Innovation - refers to originality, i.e. the ability to develop new products, new technology, new distribution outlets, new suppliers etc. The word 'new' does not have to be dramatically new but it could be a modification of an existing product / services, or a new idea in business outlet & service they better. In business - an entrepreneur must always come up with new ideas.

ii) Synthesis - involves ~~combining~~ combining for information from many sources, analysing and giving such information and finally interpreting them into a new useful pattern. Information could come from salesmen, consumers, informing journals, magazines, newspapers etc., e.g. complain about the sharp practices of middlemen by consumers - can make one & check them.

iii) Extension - This involves expansion of current brands - new of the entrepreneur by taking ideas that proved in one area and using them in another area. In doing this, the socio-cultural environment & the new entry should be considered.

iv) Duplication - This involves copying the ideas of others. Here the entrepreneur shifts around other firms to see how things are being done, he takes note of their weaknesses & shortcomings and uses it to modify his own goods or services to remain competitive.

- It also involves a situation where people imitate for a particular low entrepreneur leave the rights in their own and establish themselves by the same type of business. e.g. sell medicine from newspapers - they left newspapers to establish their own - also the news from African continent.

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④ Risk Bearing - Another function of an entrepreneur is risk-bearing. The entrepreneur cannot function without bearing some risk. The more an entrepreneur faces can be categorized into two:-

i) Insurable Risks

ii) Non-Insurable Risks

① Insurable Risks - are risks that the entrepreneur may not have a direct control, but which can be passed to a third party. e.g. the insurance company.

e.g. fire, theft, accidents, and other natural disasters.

ii) Non-Insurable risks - risks that must be borne by the entrepreneur. They are not passable to the third party. They arise from uncertainty of the future, e.g. the future elements of products & services, behaviour of suppliers, unstable changes in government policies, effect of industrial relations, trade unions, and other important elements of the external environment.

⑤ Selection and Acquisition of Resources! - for the entrepreneur to succeed & grow, the entrepreneur must select & acquire the right quality and quantity of resources that would enable him achieve his objectives.

- It is one of the most important functions of an entrepreneur.
- These resources are men, money, materials & machinery.
- He must also need to select & acquire the right & essential and have the necessary infrastructure for the smooth running of the enterprise.
- He needs to maintain a satisfactory relationship with banks and other financial institutions, government, suppliers etc so as to ensure that they provide the necessary support for the entrepreneur when the need arises.

⑥ Estimation of the Entrepreneurial

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④ Risk Aversion - Another function of an entrepreneur is risk-bearing. The entrepreneur cannot function without bearing some risk. The more an entrepreneur faces can be categorized into two:-

i) Insurable Risks

ii) Non-Insurable Risks

⑧ Insurable Risks - are risks that the entrepreneur may not have a direct control, but which can be passed to a third party. e.g. the insurance coys.

e.g. fire, theft, flood, accidents, and other natural disasters.

ii) Non-Insurable risks - risks that must be borne by the entrepreneur. They are not passable to the 3rd party. They arise from uncertainty of the future, e.g. the fluctuations of products & services, behaviour of suppliers, unpredictable changes in govt policies, effect of industrial sickness by trade unions, and other important elements of the external envt.

⑤ Selection and Allocation of Resources: For the entrepreneur to succeed & grow, the entrepreneur must select & organize the right quality and quantity of resources that would enable him achieve his objectives.

- It is one of the most important functions of an entrepreneur.

- These resources are men, money, materials & machinery.

- He must also need to select & suitable site where to establish and have the necessary infrastructure for the firm to run & the entrepreneur's objectives.

- He needs to maintain a satisfactory relationship with banks and other financial institutions, govt agencies, suppliers etc. so as to ensure that they provide the necessary support for the entrepreneur's business.

⑥ Estimation of the Entrepreneurial Risk..

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(c) ESTABLISHING THE ENTERPRISE - After analysing the business opportunities and deciding on which one to explore and implement, the ultimate is for the entrepreneur to establish, and manage the enterprise.

- This aim should be that the business should be successfully managed so that all the objectives set at the beginning would be achieved.

- Establishing the enterprise involves the determination of tasks necessary to achieve goals,

- b) Planning to achieve those goals/tasks,
- c) Organising, d) Selecting and allocating necessary resources,
- e) Co-ordination of the various activities,
- f) Motivation of personnel and so on.

CHARACTERISTICS OF ENTREPRENEURS

In this part, the personal qualities of successful entrepreneurs will be looked at - i.e. ~~their~~ who they are, what they are like, their personality and more. These characteristics have been compiled by scholars from different disciplines (Psychologists, Sociologists, anthropologists, economists etc). They include:-

(1) Self-Confidence (2) Risk Taking. (3) ^{creativity} (4) Drive and Energy (5) Long term involvement (6) Leadership.

(7) Creative (8) Taking Initiative (9) Taking Personal Responsibility

(1) Self-Confidence - One of the most important traits of an Entrepreneur is Self-Confidence, i.e. the beliefs in himself. He believes in his ability to achieve the goals he has set for himself. Even when faced with obstacles as difficulties, he considers these obstacles as challenges and finds ways to conquer them.
- He is one who ~~sets~~ ~~achieves~~ ~~to~~ ~~gets~~ maintains a high level of emotional stability in the face of difficulties:

(2) Risk-Takers: An Entrepreneur is expected to calculate the risks involved in the project before ~~the~~ venturing into it. That is he should carefully assess the situation and takes special attention to the risks involved.
- He should also weigh his personal considerations against the risks.

- He should see himself - "Do I have the necessary talents, skills, abilities, technical know-how, experience, attributes, values, etc that can take care of these risks?"

- Entrepreneurs are advised to ~~not~~ accept risks & when the benefits are equal to or greater than the risks involved.

- There is a trade-off between risks and return. The lower the risk, the lower the return, moderate risks gives moderate return and high-risk gives high return.
- An Entrepreneur that believes so much in himself will tend to take high risks - as it has the tendency to yielding higher return.

- ③ Insta (Result) Oriented:- An Entrepreneur is one who believes in achieving results. - He is result oriented.
- He is also goal oriented - i.e. he sets challenging, realistic, and attainable goals. Thus he sets achievable goals.
 - He is one who persists even in the face of adversity and difficulty to achieve these goals. He is persistent, persistent and is also determined to ensure that his objectives are met.
 - He is one who sets a clearly defined objective - i.e. goals that are measurable - goals should have time span, e.g. at the end of ... I want ... return on investment.
 - These goals become a challenge to the Entrepreneur as they propel him to move tirelessly towards achieving the goal.

④ Drive And Energy:- An Entrepreneur is a person who exhibits a high level of drive and energy. In establishing and running the enterprise, he puts in a lot of physical energy and mental energy.

Physically - He lives for long hours and for several days with very few hours of rest or sleep. He runs around to contact government agencies, banks and financial institutions, suppliers, distributors, customers etc for one thing or the other.

He may also have to supervise the work in the factory (if his business is manufacturing concern). He may close late and the next morning he is at it again - it takes one who is physically strong to achieve all these.

Mentally - An Entrepreneur needs a lot of energy mentally too. He does a lot of planning, organizing, coordinating, and controlling & achieving in the firm. He may spend sleepless nights in an attempt to solve problems in the organization. These create some mental burden on him. It is therefore only the mentally fit that can withstand this strain.

⑤ Long Term Investment:- An Entrepreneur is some one who is future oriented. i.e. he sees profits in long term basis. He is not interested in establishing a profit that would collapse after a few years in operation.

He creates an organization that would outlive him - a going concern. He embarks on every strategy to move the business firm.

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- ⑥ - Leadership - An Entrepreneur is one who possesses leadership skills as he needs other people to assist in running the business. These people could be family or just advisors. Irrespective of their nature, it's necessary for the entrepreneur to motivate, direct and guide these people to accomplish his goals.

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- ⑦ Creativity - Creativity is also a very important characteristic of an Entrepreneur. He should have the ability to innovatively develop the ability to be original and innovative. The entrepreneur is resourceful, versatile and knowledgeable. When consumers are not very receptive to his products and services, he is flexible enough to change his products to suit what the consumers need.
- He also keeps an Entrepreneur perpetually in business and his creative ideas used in developing new products, new business, new marketing channels etc.

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- ⑧ Intuitive - An Entrepreneur is one who actively seeks and takes initiatives. When problems arise in the course of his trying to achieve objectives, he does not wait for people to come and take decisions for him. Instead he takes the initiative to solve the problems.

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- ⑨ Personal Responsibility - This is closely related to the ability of an entrepreneur to take initiative. An Entrepreneur is one who takes personal responsibility for his actions and thus decreases his dependence on others. To be able to have control over the future (his own future) he plans, and sets targets. When things go wrong, he accepts the responsibility for correcting it.

- It's not necessary for an Entrepreneur to possess all these skills in order to be successful in business, but the more he has, the greater the possibilities of being successful in the business.

All those who do not possess these characteristics should have the potential to develop them.